

APS's €3.3B Target Signals Banks Are Ready to Sell CRE Pain at Scale

A distressed-debt buyer's portfolio ambition reveals the next phase: bulk loan sales, not just one-off workouts.

The most telling number in APS Holding's plan to buy €3.3 billion of distressed debt is not the size of the target. It is the fact that the target exists at all. A dedicated bad-loan investor does not set a portfolio-level ambition unless it sees a pipeline forming. APS is not guessing.

It is reading the same signals the rest of the market sees: higher rates have not broken the system yet, but they have broken enough individual capital stacks that banks are now willing to sell in bulk rather than work out one loan at a time. This is the transition from distress as a headline to distress as a transaction cycle.

APS Holding, a European investor specializing in non-performing loans, is preparing to step up purchases as higher interest rates and real estate stress begin to dent bank balance sheets. The €3.3 billion figure represents the portfolio-level deal flow APS expects to pursue, not a single acquisition. The company is positioning for a wave of loan sales that have been slow to materialize but now appear to be gaining momentum. The timing matters.

For two years, banks have used extensions, modifications, and regulatory forbearance to avoid recognizing losses on commercial real estate debt. That strategy buys time but does not eliminate the underlying problem: loans originated at low interest rates against valuations that no longer clear at today's cost of capital. The longer rates stay elevated, the more those loans migrate from performing to sub-performing to non-performing.

APS is betting that the migration has reached a critical mass where banks will choose portfolio sales over prolonged workouts. The economics support the bet. A single loan workout requires legal costs, appraisal disputes, borrower negotiations, and regulatory scrutiny. A portfolio sale transfers all of that to a buyer at a discount that reflects the uncertainty. For banks under pressure to clean up balance sheets, the portfolio route is faster and cleaner.

Who benefits from this shift? The distressed-debt buyers who have been waiting for scale. APS and its peers have raised capital for exactly this moment. They have the infrastructure to underwrite pools of loans, the legal teams to manage enforcement, and the patience to hold assets through a recovery. For them, the discount on a portfolio is the compensation for taking on complexity that banks no longer want to manage.

Who is exposed? The borrowers inside those portfolios. A loan sold to a distressed-debt fund is a loan that will be managed for resolution, not relationship. The new owner has no incentive to extend or modify unless the math works on a purely economic basis. Borrowers who hoped for patience from their originating lender will find that patience has been sold along with the note. The market should watch two things.

First, the pricing of the first major portfolio sale. The discount will set a benchmark for every bank deciding whether to sell or hold. Second, the reaction of regulators. If portfolio sales accelerate, regulators will need to decide whether to encourage the clean-up or worry about the concentration of distressed assets in fewer, less regulated hands. APS's ambition is not a prediction that the market is about to break.

It is a recognition that the market has already repriced, and the next phase is about who owns the paper when the repricing is complete. Banks are deciding that they do not want to own it. Distressed-debt investors are deciding that they do. The €3.3 billion target is not a number. It is a signal that the bulk loan sale market is no longer hypothetical.

It is becoming the mechanism through which the post-2021 capital stack is finally unwound.

About Us

Light Tower Group is a commercial real estate capital advisory firm helping owners, developers, and investors structure and source debt, preferred equity, joint venture equity, and other institutional capital solutions.

We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

To discuss a financing need, recapitalization, or capital strategy:

ben@lighttowergroup.co

lighttowergroup.co